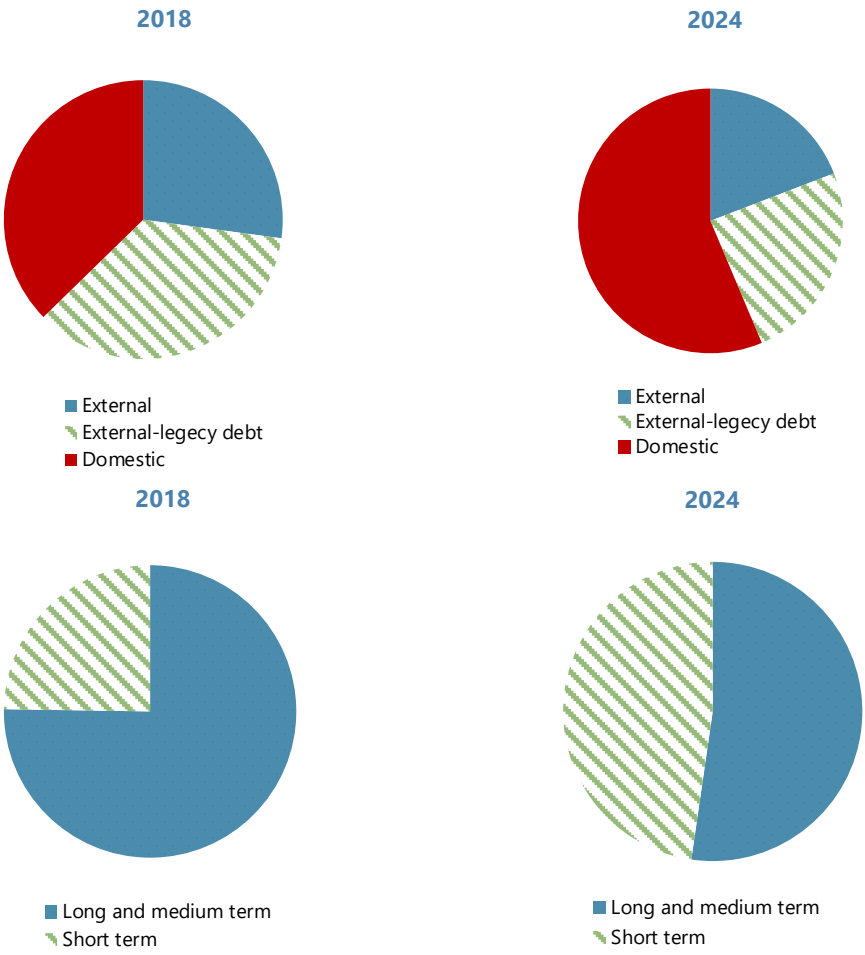
Figure 1. Iraq: Public Debt Composition, 2018–24



Source: IMF staff estimates and calculations.

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Figure 1. Iraq: Public Debt Sustainability Analysis—Baseline Scenario

(In percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators 1/

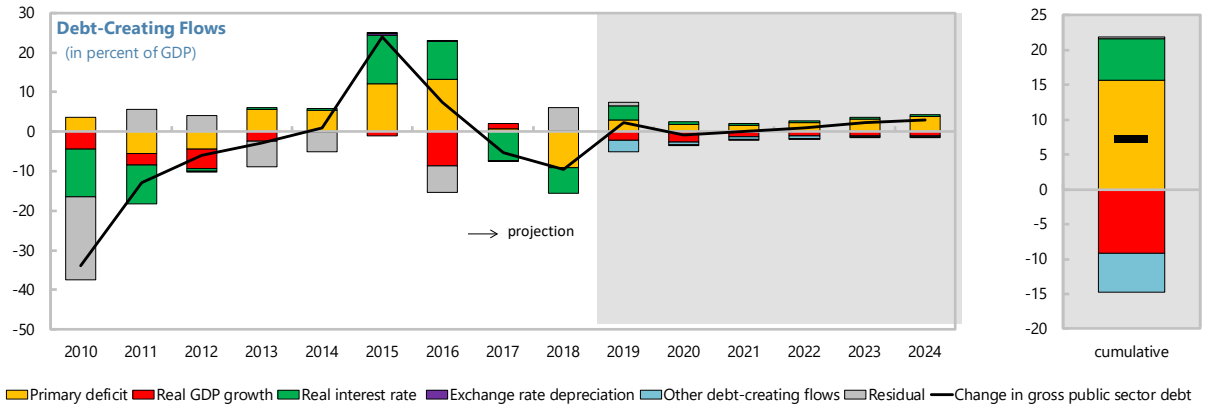
	Actual			Projections					
	2008-2016 2/	2017	2018	2019	2020	2021	2022	2023	2024
Nominal gross public debt	53.0	58.9	49.3	51.4	50.5	50.6	51.5	53.6	56.4
Public gross financing needs	5.7	1.2	-7.9	17.4	17.1	18.0	20.8	24.3	29.1
Real GDP growth (in percent)	7.3	-2.5	-0.6	4.6	5.3	2.6	2.3	2.1	2.1
Inflation (GDP deflator, in percent)	1.6	14.6	15.4	-4.5	2.3	2.6	2.8	3.1	3.3
Nominal GDP growth (in percent)	9.1	11.8	14.7	-0.1	7.8	5.2	5.2	5.2	5.5
Effective interest rate (in percent) 3/	1.1	1.7	2.7	2.5	3.7	3.7	3.7	4.0	4.3

As of January 25, 2019

Sovereign Spreads		373
5Y CDS (bp)		424
Ratings	Foreign	Local
Moody's	Caa1	Caa1
S&Ps	B-	B-
Fitch	B-	n.a.

Contribution to Changes in Public Debt

	Actual			Projections							
	2008-2016	2017	2018	2019	2020	2021	2022	2023	2024	cumulative	debt-stabilizing primary balance 9/
Change in gross public sector debt	-3.3	-5.4	-9.7	2.2	-1.0	0.1	0.9	2.2	2.8	7.2	
Identified debt-creating flows	0.8	-5.1	-15.4	1.3	-0.8	0.2	1.0	2.3	2.9	6.9	-0.9
Primary deficit	4.3	0.6	-9.2	3.0	1.8	1.6	2.3	3.1	3.8	15.7	
Primary (noninterest) revenue and grants	39.7	33.0	39.8	40.5	39.6	37.9	36.4	35.4	34.5	224.3	
Primary (noninterest) expenditure	44.1	33.7	30.5	43.4	41.4	39.5	38.8	38.6	38.3	240.0	
Automatic debt dynamics 4/	-3.5	-5.8	-6.1	1.3	-1.9	-0.7	-0.7	-0.6	-0.6	-3.3	
Interest rate/growth differential 5/	-3.5	-5.8	-6.1	1.3	-1.9	-0.7	-0.7	-0.6	-0.6	-3.3	
Of which: real interest rate	0.0	-7.2	-6.4	3.5	0.6	0.5	0.4	0.4	0.5	6.0	
Of which: real GDP growth	-3.5	1.4	0.3	-2.3	-2.5	-1.2	-1.1	-1.0	-1.1	-9.2	
Exchange rate depreciation 6/	0.1	0.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows 7/	0.0	0.0	0.0	-2.9	-0.7	-0.7	-0.6	-0.3	-0.3	-5.5	
Other flows (+ reduces financing needs) (negative)	0.0	0.0	0.0	-2.9	-0.7	-0.7	-0.6	-0.3	-0.3	-5.5	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes 8/	-4.1	-0.3	5.7	0.8	-0.2	-0.1	-0.1	-0.1	-0.1	0.2	



Source: IMF staff calculations.

1/ Public sector is defined as central government and includes public guarantees, defined as Public debt guarantee .

2/ Based on available data.

3/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

4/ Derived as [r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ) times previous period debt ratio, with r = effective nominal interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

5/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

6/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

7/ Other flows consist of drawdown of government deposits in the banking system.

8/ Includes changes in the stock of guarantees, asset changes, and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

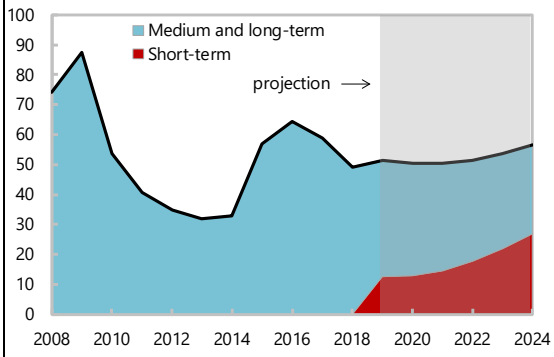
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Figure 2. Iraq: Public Debt Sustainability Analysis—Composition of Public Debt and Alternative Scenarios

Composition of Public Debt

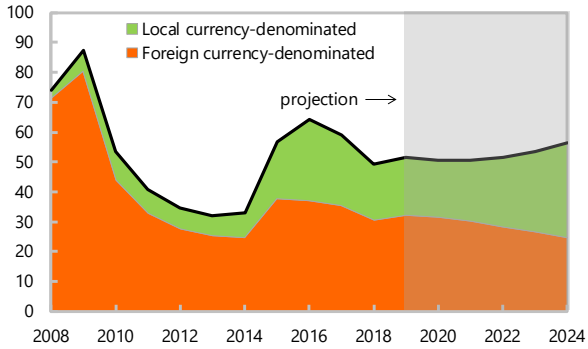
By Maturity

(in percent of GDP)



By Currency

(in percent of GDP)

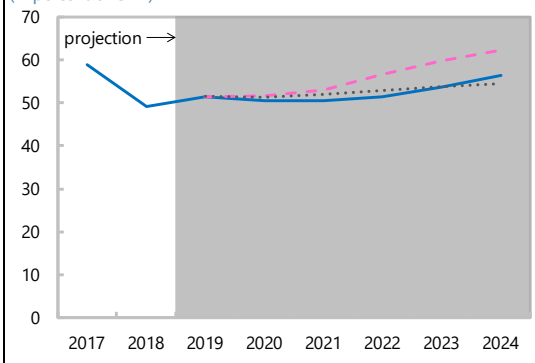


Alternative Scenarios



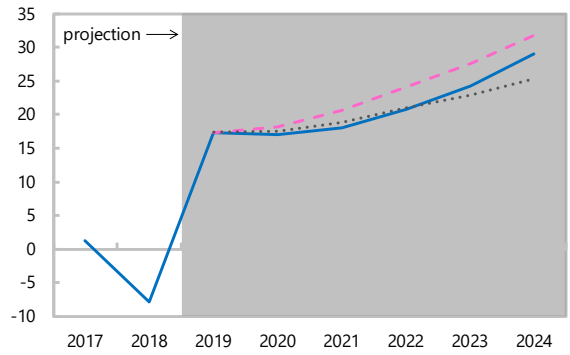
Gross Nominal Public Debt

(in percent of GDP)



Public Gross Financing Needs

(in percent of GDP)



Underlying Assumptions

(in percent)

Baseline Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	4.6	5.3	2.6	2.3	2.1	2.1
Inflation	-4.5	2.3	2.6	2.8	3.1	3.3
Primary Balance	-3.0	-1.8	-1.6	-2.3	-3.1	-3.8
Effective interest rate	2.5	3.7	3.7	3.7	4.0	4.3
Constant Primary Balance Scenario						
Real GDP growth	4.6	5.3	2.6	2.3	2.1	2.1
Inflation	-4.5	2.3	2.6	2.8	3.1	3.3
Primary Balance	-3.0	-3.0	-3.0	-3.0	-3.0	-3.0
Effective interest rate	2.5	3.7	4.5	4.7	4.9	5.0

Historical Scenario	2019	2020	2021	2022	2023	2024
Real GDP growth	4.6	5.7	5.7	5.7	5.7	5.7
Inflation	-4.5	2.3	2.6	2.8	3.1	3.3
Primary Balance	-3.0	-2.4	-2.4	-2.4	-2.4	-2.4
Effective interest rate	2.5	3.7	3.9	3.9	3.9	3.9

Source: IMF staff calculations.

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